

What are financial products?

Like any other market, the activities of financial markets involve transactions between buyers and sellers. But it's the nature of the financial products that are traded that can make them hard to understand. To start with, they're not goods that can be seen or touched, but intangible things such as shares in a company, or bonds issued by governments. Also, buyers receive only a document as their proof of ownership for whatever they have bought, such as a bond or share certificate. These documents are what are known as financial instruments, and they represent the agreement between buyer and seller.

Safe and secure?

Generally speaking, there are three different types of financial products or "securities" that are publicly traded. Some are in the form of company shares. Companies sell shares through the stock markets to raise money. A person buying these effectively owns part of that company, and the value of this shareholding, also known as equity, depends on how much profit the company makes. There are also "debt securities," which include bonds issued by corporations and governments. The buyer of these is in effect lending money to the issuer, rather than buying a share in the business, and the bond is a guarantee that the loan will be repaid at a certain date, plus an agreed to amount of interest. More complex financial instruments, such as [forward contracts and other derivatives](#) are also traded in the financial markets.

**THE PRACTICE OF FINANCIAL ENGINEERING
CAME ALONG WITH MASSIVE DOSES OF
PSEUDOSCIENCE.**

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